coal, iron and steel, aircraft manufacturing, ship building etc.. Private enterprises and the cooperatives managed the remaining industries.

Industrial Policy Resolution 1956

A new industrial policy was formulated and was adopted in April 1956. As per this policy, three categories of industries were specified. There were industries which were totally controlled by the state, industries which were owned by the state and the private enterprises which could supplement in the management of such industries and the third category of industries were those which were exclusively managed by the private enterprises. The industries of the private sector were to be encouraged by the state by improved systems of transport, power sector and other services. The small scale industries and cottage industries were also to be encouraged by the state.

Industrial Policy, 1980

An industrial policy was announced by the congress government in July 1980. It stressed on a pragmatic approach towards development acknowledging the Industrial Policy Resolution of 1956. It emphasised on an integrated industrial development with setting up of nucleus plants in industrially backward regions. Small scale units and cottage industries were to be started which could function more effectively using improved technology. It aimed at promoting a concept of economic federalism.

The industrial policy of 1980 made considerable changes by bringing about a liberalised licensing policy by which the large undertakings were much benefitted as they were made free from the MRTP Act and FERA. The government delicensed industries which were located in the areas that were declared as backward. The concept of broad banding was introduced. This gave flexibility to the manufacturers in production as the products could be designed as per the demands of the market.

Industrial Policy 1991

A new industrial policy was introduced by the P.V.Narasimha Rao government in July 1991. This was a landmark in the economic history of the nation because the government had introduced its policy of liberalization.



New Economic Policy was introduced in India on July 24, 1991 under Prime Ministership of P.V. Narasimha Rao, Dr. Manmohan Singh the Finance Minister is regarded as the Father of New Economic Policy of India.

The Act from centralized bureaucratic control. The conditions of public enterprises was reexamined as they showed very less rate of growth. So, entrepreneurs were freed from restriction of MRTP Act and restrictions on direct foreign investment was removed. The Indian economy was integrated with the world economy through this policy of liberalization. Major reforms were introduced in the areas of industrial licensing, foreign investment, foreign technology, public sector policy and MRTP Act.

Changes were made with regard to industrial licencing which was abolished for many industries. As per the new Act,18 industries were included for compulsory licensing. Some of the industries in this category were coal and lignite, petroleum, sugar, industrial explosives, hazardous

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